

Activity 9: Negotiate a Multi-Party Growth Investment

TSC mapping: K4 | K5 | K6 | A4 Objective: Use coalition mapping, package trades and precedent analysis in a multi-party term-sheet negotiation. Expected output: A board briefing recommending one of three complete investment packages. Primary source: <https://builtin.com/articles/negotiation-skills>

Goal

Represent a founder balancing a lead investor, existing shareholders and key management during a growth funding round.

Real-world scenario

Real-world use case: investment negotiations involve valuation, governance, control, liquidity, incentives and long-term relationships among several parties. This is not investment or legal advice.

A profitable software firm seeks SGD 8 million for regional expansion. A lead investor offers attractive capital but requests board control and a strong liquidation preference. Existing shareholders fear dilution; the management team wants an option pool; the founder values strategic access and operational autonomy.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- The lead investor proposes a SGD 32 million pre-money valuation.
- An alternative investor may offer a higher valuation but cannot decide for eight weeks.
- The board currently has three seats: two founder nominees and one independent.
- All legal and tax terms are simplified and require qualified professional advice.

Questions

1. Which parties can form supportive or blocking coalitions?
2. Which terms are economically linked even if negotiated separately?
3. What precedent comparisons are misleading without context?
4. Which package best balances capital, control, incentives and relationship value?

Detailed activity procedure

Step 1: Map parties and coalitions

Identify decision rights, interests, influence, likely alliances and possible blocking combinations.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Translate legal terms into interests

Explain valuation, board seats, preference, protection and option pool in commercial consequences.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Compare precedents

Adjust market term examples for stage, risk, growth, control and investor contribution.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Create packages

Build three combinations of valuation, governance, preference, option pool, milestones and strategic support.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Plan side alignment

Schedule lawful, transparent pre-meetings that prevent surprises without making hidden commitments.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Recommend and record

Score packages, state residual risks, identify approvals and draft conditional board instructions.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A board briefing recommending one of three complete investment packages.

Acceptance criteria

The board brief covers every material stakeholder, compares three packages and explains why each cited precedent is or is not comparable.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: <https://builtin.com/articles/negotiation-skills>